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ATHENA ECONOMICS

OECD Public Consultation on Chapter VII

ESG: Here Comes the Bill

Who Should Bear ESG Costs Within a Multinational Group? A Framework for Chapter VII

Summary

ESG expenditure has moved from the sustainability report into the cost base of multinational groups, and a quarter of the public comments on the revision of Chapter VII of the OECD Transfer Pricing Guidelines raise it. Yet beyond two simple situations, its transfer pricing treatment remains a grey zone.

This note proposes a framework that allocates ESG costs according to the economic driver of each initiative (compliance, investor, business or philanthropic) and argues that the arm's length principle already provides the answer: what is needed is to make its application to ESG explicit.

It is a written version derived from our presentation at the OECD Public Consultation Meeting on Chapter VII (Session 3), held on 9 November 2026.

Why ESG has become a Chapter VII question

ESG has come of age. It is no longer a matter for the sustainability report alone: it now weighs on the cost base of multinational groups, and the question of which group entity should bear that cost has become an increasingly important one for Chapter VII.

- **First, the amounts matter**. Climate investment needs alone are estimated, on the most conservative estimate, at no less than USD 6 trillion a year[1]. Spending on sustainability consulting is expected to quadruple between 2022 and 2028[2].
- More importantly, ESG is not only about the direct costs of dedicated ESG teams, nor even about the ESG work carried out within other functions (human resources, procurement, legal, finance).

  It is first and foremost about the indirect costs of implementing ESG policies throughout a group. When a group requires its suppliers to pay a living wage, or switches to low-carbon inputs, the cost lands in the cost of goods sold, not in any ESG budget.
- **Second, the issue is now pervasive**.

  We reviewed all 140 public comments submitted on the Chapter VII public consultation document: **around a quarter of them raise ESG**[3]. A clear consensus emerges in two relatively simple situations:

[1] *Climate Policy Initiative, Global Landscape of Climate Finance 2025.*

[2] *Verdantix forecast: from USD 11.5 billion in 2022 to over USD 48 billion in 2028.*

- ESG reporting performed at parent level for the group's investors is generally viewed as a shareholder activity, and
- Support provided to subsidiaries to meet their own legal obligations is generally viewed as a chargeable service.
- Between them lies a significant grey zone, where clearer guidance may help.

Should Chapter VII therefore say more on ESG? We suggest three tests for any new guidance:

- **Needed:** is the issue material and uncertain enough to justify guidance?
- **Practicable:** can the guidance be applied reasonably, by taxpayers and tax administrations alike?
- **Principled:** can it be grounded in existing rules, rather than creating new ones?

Often, nothing needs to be done

Two preliminary remarks frame the discussion.

- **First, in many cases the issue may simply not arise**.

  Existing transfer pricing policies may already lead to an economically appropriate allocation of ESG costs. For example, where a routine service provider or a contract manufacturer is remunerated on a cost-plus basis and the residual sits with the entrepreneur, the ESG costs it incurs are already reflected in its charge to the entrepreneur.
- **Second, proportionality.** Any additional guidance should be proportionate and focused on material cases only: a compass for material cases, not a new compliance layer.

A framework based on economic drivers

Our starting point is that ESG is not a homogeneous category[4]. Every ESG initiative is undertaken for a reason, and that economic driver indicates which entity should bear its cost. We distinguish four categories.

- **Compliance ESG** covers what is required by law or regulation, locally or centrally. In principle, the arm's length charge is allocated to the entity subject to the obligation, whether that is the parent or a local operating entity; where another group entity performs the work, this is a classic intra-group service. Examples include local obligations such as India's mandatory CSR spend[5], climate disclosures required by the parent's listing[6], or a consolidated CSRD sustainability report that exempts subsidiaries from reporting on their

[3] *Athena Economics review of the 140 public comments received on the OECD Public Consultation Document "Revisions to Chapter VII of the OECD Transfer Pricing Guidelines – Special Considerations for Intra-group Services" (1 June – 22 July 2026).*

[4] *This framework was first set out in Athena Economics' response to the OECD public consultation on Chapter VII (July 2026), section 1.1.2, building on G. Madelpuech, "Prix de transfert : RSE / ESG : qui va payer ?", Forvis Mazars, November 2024.*

[5] *Companies Act 2013 (India), section 135: qualifying companies must spend at least 2% of their average net profits of the three preceding financial years on CSR activities.*

[6] *For instance, the UK Financial Conduct Authority listing rules have required climate-related disclosures consistent with the TCFD recommendations, on a comply-or-explain basis, since 2021.*

own[7]. The last case raises an open question of substitution: who would have borne that cost on a standalone basis? Where subsidiaries would have fallen below the reporting thresholds on their own, the cost can be analysed as a negative group synergy.

- **Investor ESG** covers activities undertaken for the group's own investors: answering ESG rating questionnaires, being included in sustainability indices, or responding to green activist investors and broader equity market expectations, for example targets agreed with investor coalitions such as Climate Action 100+[8]. Here we are very close to the core concept of shareholder activities, with the charge typically borne by the ultimate parent.
- **Business ESG** covers initiatives driven by commercial benefits, which could have been undertaken even without any ESG objective: an ESG rating required by business customers from their suppliers, energy-efficiency programmes, or the protection of a brand. They are ordinary economic activities under Chapter VII, and the beneficiaries bear the appropriate arm's length charge. This is where the analysis becomes more complex, and the most interesting cases are likely to involve consumer brands, where business and other ESG motivations can be closely intertwined.
- **Philanthropic ESG** is the residual: initiatives undertaken beyond any identifiable commercial return, such as pledges that go beyond business needs (Salesforce's "1-1-1" model, committing 1% of equity, product and employee time[9]). Where independent entities would not reasonably bear such costs, should the residual be borne by the shareholder, as arguably the only party able to commit the enterprise to a non-economic purpose? We put this forward as a proposition for discussion. Open questions remain, in particular whether a local entity may itself decide on philanthropy, as comparable independent companies in the same market may do.

One important point: in practice, an ESG initiative will rarely fall into just one of these categories. A living-wage programme at suppliers, for instance, may be partly compliance (under due-diligence legislation), partly business (because clients and the brand demand it), partly investor (because ESG ratings score it) and, beyond what competitors do, partly philanthropic. The framework is therefore a tool to decompose initiatives, not to label them.

Limits

The framework has two main limitations.

- **Mixed activities.** Separating and measuring the different components of an initiative is difficult: how do we separate brand benefits from a philanthropic component? This is a mixed-activity question, at the core of the revision of Chapter VII.
- **Induced costs.** Indirect costs are hard to measure, and tax functions do not measure them today. Economic research and corporate practice offer useful methods (pricing the "green premium" of low-carbon inputs, estimating living-wage gaps, applying internal carbon prices), but measurement would remain challenging.

These aspects call for further work.

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[7] *Directive (EU) 2022/2464 (CSRD) exempts subsidiaries included in the parent's consolidated sustainability report.*

[8] *Shell set short-term carbon targets in a joint statement with Climate Action 100+ investors in December 2018.*

[9] *Salesforce, "1-1-1" philanthropic model, later promoted through the Pledge 1% movement launched in 2014.*

Conclusion

Our answer to the initial question, whether Chapter VII should say more on ESG, is positive. Is it needed? Yes: the issue is both material and complex. Is it practicable? Yes, provided any guidance includes safeguards for proportionality. Is it principled? Yes, because the framework builds on existing OECD principles, starting with the benefit test.

We are not raising a new question, nor proposing a new principle. The arm's length principle already provides the foundation for both. Our proposal is to make its application to ESG clearer and more accurate, including in the disputes that will inevitably arise.